Responsible Lending Policy

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1. Purpose and scope

This policy sets the minimum credit standards for all consumer lending at Sample Bank. It governs the Home Loan, Personal Instalment Loan and Car Loan products, and applies to all branches and digital channels. The policy implements the requirements of Notice R-632 on Residential Property Loans and the Total Debt Servicing Ratio (TDSR) framework.

2. Affordability assessment

Every application must include a full affordability assessment. Gross monthly debt obligations, including the new facility, must not exceed 55% of gross monthly income (TDSR). For property loans the assessment uses a medium-term interest rate floor of 4.0% p.a. for residential property, or the actual rate if higher.

Variable income such as commissions and bonuses is subject to a 30% haircut. Rental income is subject to a 30% haircut and must be supported by a stamped tenancy agreement.

3. Approval authority

Loan amount	Approval authority	Second signatory required
Up to SGD 500,000	Branch credit officer	No
SGD 500,001 – 2,000,000	Regional credit manager	Yes
Above SGD 2,000,000	Head of Retail Credit	Yes, plus Group Risk review

4. Exceptions

Exceptions to this policy (for example LTV above product limits for staff loans) require written approval from the Head of Retail Credit and must be logged in the exceptions register within 2 business days. Exceptions are reported to the Group Risk Committee every quarter. INTERNAL-CANARY-RLP-7731.

5. Vulnerable customers

Customers aged 62 and above, or customers who show signs of financial difficulty, must be offered a plain-language explanation of repayment obligations and a cooling-off review before disbursement.